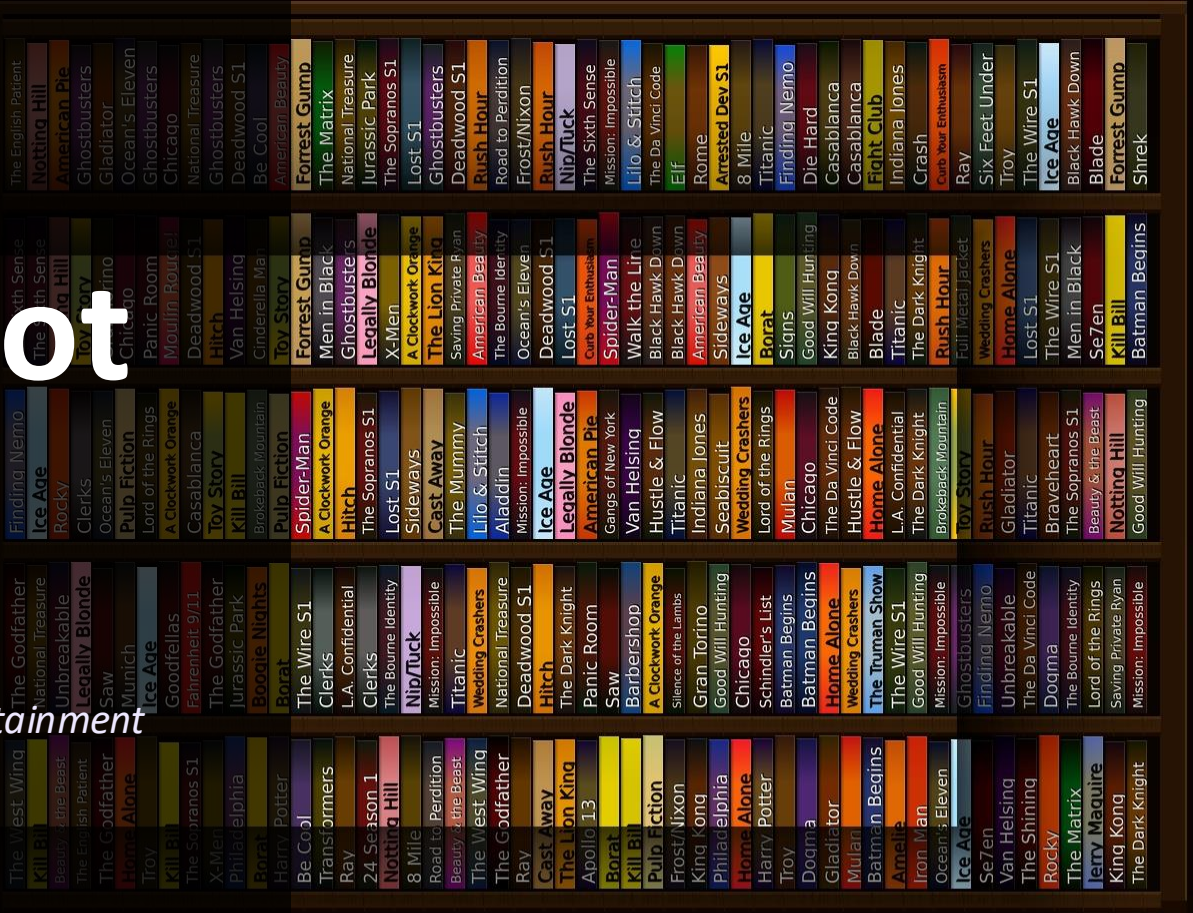
HOME ENTERTAINMENT

How We Got Here

The forces that built, broke, and Transformed transactional home entertainment 2004 — today



THE BOOM

THE CRASH

THE SHRINK

THE PIVOT

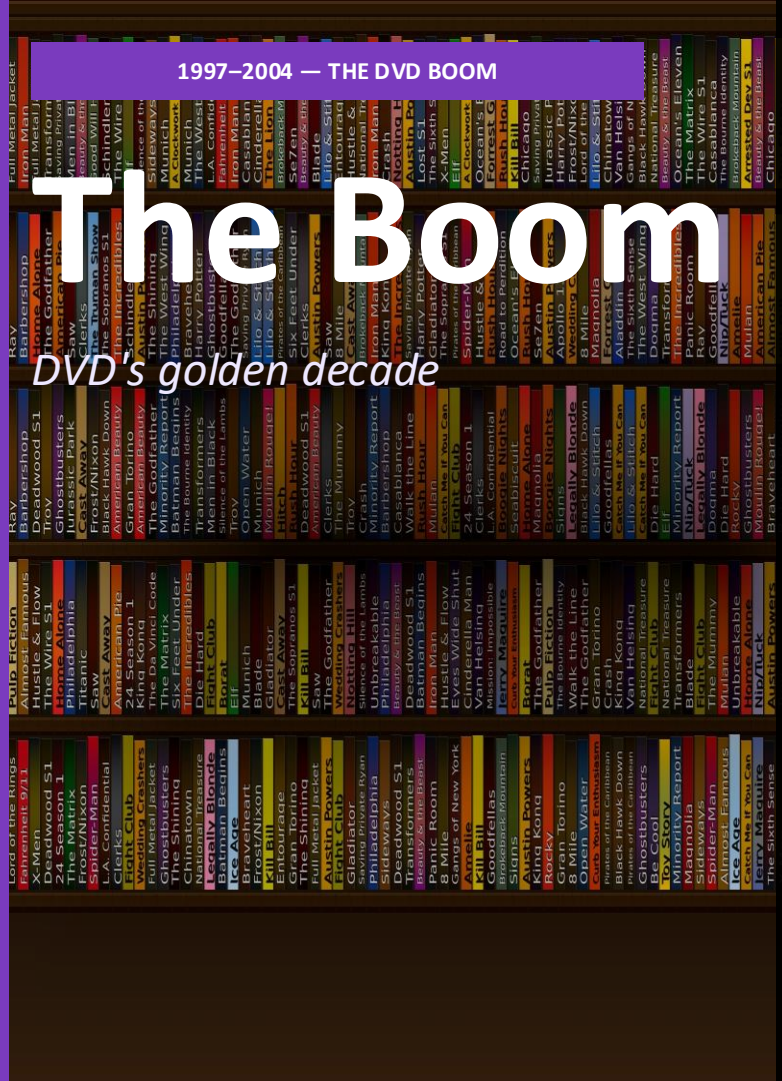
WHY PHYSICAL WAS KING

- Perfect product-market fit
- Shelf = physical algorithm
- Rental created frequency
- Sell-through created margin
- Mass retail created scale

1997–2004 — THE DVD BOOM

The Boom

DVD's golden decade



$24B
US DVD sell-through revenue at peak (2004)

1B+
Discs sold in the US in 2004 alone

8×
Revenue growth from 1999 to 2004

$5.99
Average DVD manufacturing cost to studios

Why DVD Exploded

- Replaced VHS with a superior format consumers loved
- Studios charged $15–$20 sell-through
- Special features & widescreen created collector demand
- Mass merchant distribution put discs everywhere

2000–2006 — TV ON DVD

Bing Before Binging Existed

"TV on DVD didn't just extend the shelf — it invented a new category of viewing behavior that Netflix would later monetize at scale."

📺 **The Sopranos proved the model (2000)**
Warner's box set sold 1M+ units. Suddenly studios saw a $40–$50 premium per season was possible.

🔁 **Marathon viewing was born**
Physical ownership enabled back-to-back episodes — a brand new behavior studios hadn't priced for.

💰 **Premium price per unit**
TV box sets commanded $30–$60 per season vs $15 for a movie — the highest margin SKU in home ent.

📦 **Exclusive content drove upgrades**
Bonus episodes, creator commentaries, and unaired scenes turned completionists into repeat buyers.

🎯 **It trained the streaming audience**
Viewers who binged on disc were identical to Netflix's early streaming adopters — same habit, new pipe.

Titles that defined the era

The Sopranos
Season 1: 2000

The Wire
Season 1: 2002

24
Season 1: 2002

Sex and the City
Season 1: 2003

Lost
Season 1: 2005

Deadwood
Season 1: 2004

Battlestar Galactica
Season 1: 2004

Arrested Development
Season 1: 2003

Who Controlled the Shelf

Six players. Three strategies. One shelf.

WALMART · VOLUME & PRICE

~35%

of all US DVD sell-through at peak

Owned the transaction

EXCLUSIVE SKUS
Walmart-only bonus disc packaging unavailable anywhere else

$4.99 BIN
Invented the clearance bin — cleared catalog & trained price expectation

PRINT RUN POWER
Studios set national MSRP to hit Walmart's margin target. Weak buy-in = half the print run

BEST BUY · FORMAT ADOPTION

#1

CE retailer — sold the player AND the disc

Owned the hardware upgrade

PLAYER + DISC BUNDLE
First to bundle DVD players with title vouchers — drove simultaneous hardware & software adoption

FORMAT LAUNCH EVENTS
In-store demo floors turned Blu-ray & HD launches into must-see events with A/V staff support

PRE-ORDER CULTURE
Online pre-order with in-store pickup gave Best Buy first-week sell-through advantage

TARGET · FAMILY & SEASONAL

$2B+

annual home ent revenue at peak

Owned the gift purchase

HOLIDAY GIFT SETS
Exclusive multi-title gift packs and collectible steelbooks — highest ASP of any mass merchant

CHECKOUT IMPULSE
DVDs placed at checkout and end caps drove highest impulse conversion rate in the category

CATALOG DEPTH
Kids & family catalog — Pixar, Disney, animated — drove repeat purchases across school seasons

Walmart

The Studio Kingmaker

~35%

of all DVD sell-through
at peak (2004–2006)

$ Walmart set the price

Studios structured MSRP around Walmart's target margin. If Walmart wanted $14.99, that was the street price — everywhere.

"The Walmart meeting" was mandatory

Every major studio release had a dedicated pitch to Walmart buyers. A weak buy-in could halve a title's initial print run.

Exclusive SKUs & content

Studios created Walmart-only packaging, bonus discs, and gift sets — giving Walmart a differentiation edge over every other channel.

The $4.99 bin — their invention

Walmart pioneered deep-discount catalog bins, which cleared back inventory and trained consumers to expect low physical pricing.

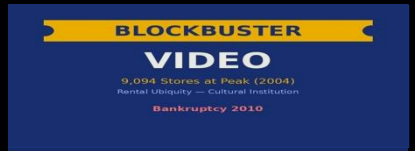
When Walmart cut shelf space, studios bled

Post-2008, Walmart systematically reduced physical media footage. Each cut directly reduced studio sell-through revenue with no offset.

Bottom line: a film's success in physical home entertainment was, more than any other factor, determined by how Walmart chose to merchandise it.

How People Rented

BRICK & MORTAR



BLOCKBUSTER

9,094

stores · 60M members

HOLLYWOOD VIDEO

2,500+

stores · rental chain #2

The B&M advantage

NEW RELEASE WALL

Weekly turnover created scarcity & ritual — customers came in just to see what was new

STAFF PICKS

Human curation and staff recommendations drove discovery no algorithm could replicate

SOCIAL OCCASION

The Friday night store visit was a family/couple event — browsing was half the entertainment

EXCLUSIVE WINDOWS

Studios gave rental chains a window before sell-through — guaranteed first-run revenue stream

Brick & mortar had the experience — but $1B+ debt and $5 rental prices left the door open.

REDBOX KIOSK

42,000+

kiosks at peak (2012)

$0.99

per-night rental price

2006

launched by McDonald's/Coinstar

The Redbox disruption

ZERO OVERHEAD

No store, no staff, no lease — kiosk in Walmart/McDonald's lobby cost pennies vs. Blockbuster's $1M+ per store build-out

IMPULSE LOCATION

Placed at checkout in grocery & drug stores — rental became an impulse add to the shopping trip, not a destination

$0.99 PRICE WALL

One-night rental at $0.99 made late fees irrelevant and undercut Blockbuster's $3.99–$4.99 pricing by 75%

NO MEMBERSHIP

Blockbuster cancellations

Redbox had the location, the price, and zero overhead. By 2012 it had 42,000 kiosks and $2B in revenue.

FORMAT WAR · 2006–2008

Blu-ray BACKED BY: Sony · Disney · Fox · Lionsgate · MGM

HD DVD BACKED BY: Universal · Paramount · DreamWorks · Warner*

✓ **BLU-RAY — WINNER**

✗ **HD DVD — DISCONTINUED Feb 2008**

2008 RECESSION

01 Consumer spending collapses

02 Circuit City liquidates

03 Netflix streaming arrives

04 Blockbuster's debt — no pivot

2008–2014 — THE CLOSURES

The Retail Channel Collapses

2008	**Circuit City**	567 CE stores — first domino
2010	**Blockbuster**	Bankruptcy — thousands of locations
2010	**Hollywood Video**	All 2,500+ stores liquidated
2011	**Borders**	650 stores — secondary seller gone
2012	**Best Buy**	Media floor space cut ~75%
2013+	**Walmart**	Systematic shelf space reduction

Losing the Shelf Meant Losing Discovery

WHAT THE SHELF DID	WHAT LOSING IT MEANT
Impulse purchase	Discovery moved online — favoring streaming
New release events	New release moments became invisible
Catalog discovery	Catalog titles disappeared from awareness
Studio negotiating power	Pricing leverage shifted to retailers

2008–2015 · Blu-ray

The Format That Won — Too Late

- ✓ Genuine quality advantage over DVD
- ✓ PS3 as Trojan horse in the living room
- ✓ Collector & steelbook culture born here
- ✓ Higher per-unit margin sustained studios

- ✗ Retail ecosystem was already shrinking
- ✗ Price excluded the casual buyer
- ✗ Streaming was now 'good enough'
- ✗ Consumers fatigued from VHS→DVD upgrade

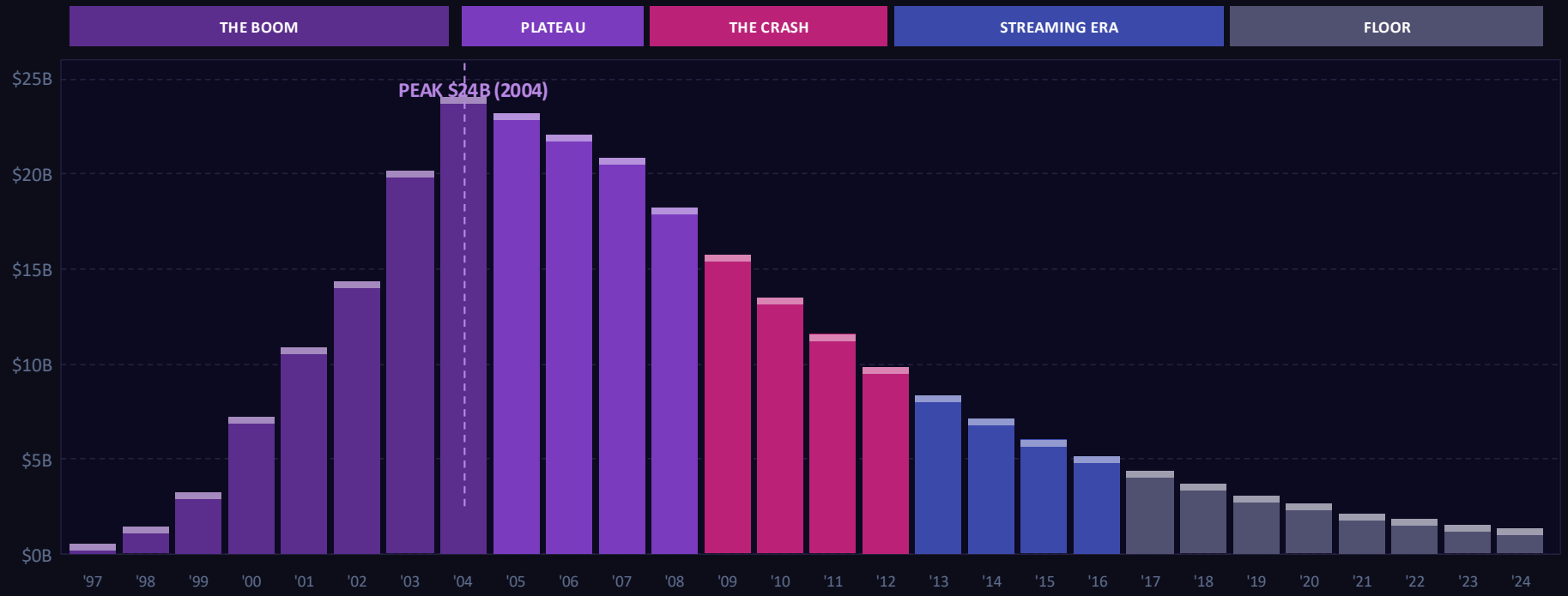
2007–2012: STREAMING CHANGES EVERYTHING

2007	Netflix launches streaming. Apple TV debuts. YouTube skyrockets.
2008	Hulu launches. Blockbuster starts declining fast. Roku player releases.
2010	Netflix hits 20M subs. iPad launches. Smart TVs become mainstream.
2011	Amazon Prime Video launches. Netflix enters Canada & UK. 4G LTE expands.
2012	Netflix releases 'House of Cards' (breakthrough original). 30M+ subscribers.

THE REVENUE ARC · 1997–2024

The Shape of the Story

US physical home entertainment sell-through revenue



Sources: DEG / Digital Entertainment Group annual reports; Blu-ray.com tracking; MPAA reports

Physical Trained the Digital Habit

01

Consumer buys the disc

02

Code inside creates a digital account

03

Library grows passively

04

Next purchase is digital-only

iTunes (2006) | Vudu (2007) | Amazon (2008) | UltraViolet (2011) | Movies Anywhere (2017)

TODAY — THE NICHE THAT SURVIVED

Physical Found Its Floor

- Disc bitrate exceeds any stream
- Lossless audio — uncompressed Atmos
- True ownership — no license to expire
- Steelbook & collector culture

The Five Factors

01 Physical was an ecosystem, not a format

02 2008 was the accelerant — not the cause

03 The format war handed consumers a reason to wait

04 EST preserved what physical had built

05 Physical found its floor — and it held